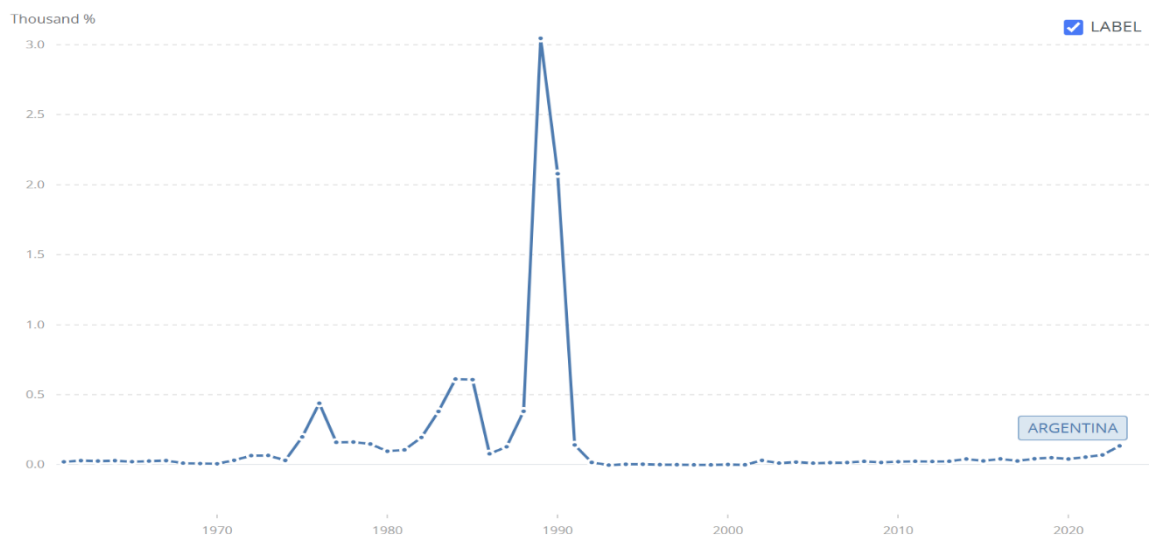


Argentina's economic history is a case study in volatility, oscillating between rapid growth and severe crises. Once among the world's wealthiest nations, structural inefficiencies, weak institutions, and policy mismanagement have led to persistent instability. Recurring issues such as currency devaluations, sovereign debt crises, and inflation cycles stem from deeper institutional weaknesses, undermining investor confidence. A key driver of Argentina's boom-and-bust cycles is expansionary fiscal policy, often financed through monetary expansion or external borrowing. This fuels inflation and unsustainable debt, while reliance on commodity exports amplifies vulnerability to external shocks. Political uncertainty exacerbates capital flight and currency depreciation. In the 2024 World Justice Project Rule of Law Index, Argentina ranks 63rd out of 142 countries, reflecting governance weaknesses that deter investment and complicate reforms. With the election of Javier Milei, Argentina faces a potential economic shift. His libertarian policies aim to reduce state intervention, implement fiscal austerity, and restructure debt. However, resistance from labor unions and political elites presents significant obstacles. Breaking Argentina's cycle of economic distress requires analyzing its policies, institutional constraints, and market dynamics.

Argentina's early economic strength started unraveling in the 1930s due to excessive government spending, nationalization of industries, and reliance on commodity exports like beef and wheat. By the 1970s and 80s, debt surged, growth stagnated, and hyperinflation took hold, exposing governance failures that fueled repeated crises. Economic instability became entrenched as inflation spiraled, eroding incomes and investor confidence. Instead of addressing structural inefficiencies, government interventions exacerbated financial imbalances, leading to drastic market reforms in the 1990s.



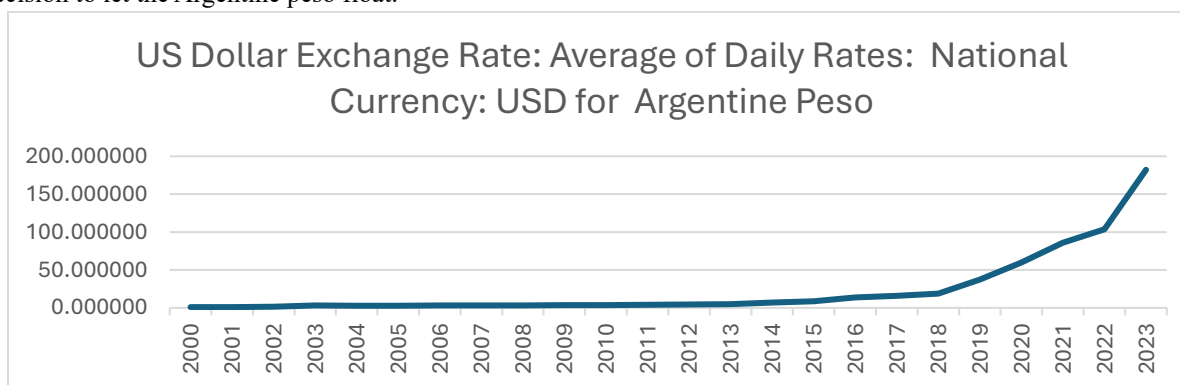
After decades of economic turmoil, Argentina embraced free-market reforms in the 1990s. The government eliminated export taxes, lifted import restrictions, and privatized state-owned enterprises, reducing the fiscal deficit and attracting foreign investment. The 1991 Convertibility Law pegged the peso to the U.S. dollar at a 1:1 rate, aiming to curb hyperinflation. Inflation fell from about 27% monthly in February 1991 to 2.8% in May 1991, and reached single digits by mid-1993. Argentina saw a surge in foreign direct investment (FDI), especially in manufacturing, as businesses modernized operations. Privatization and market liberalization drew significant external financing; between 1992 and 1999, Argentina received over \$100 billion in net capital inflows, which supported growth but increased dependence on foreign funding. To reinforce monetary stability, a 1992 Central Bank Charter strengthened central bank autonomy and restricted direct monetary financing of the public sector. These reforms initially supported recovery, but their long-term sustainability remained uncertain.

The Convertibility Law of 1991 pegged the Argentine peso to the U.S. dollar at a 1:1 rate as a credibility mechanism to stop hyperinflation. In the short run, the fixed rate reduced exchange-rate volatility and helped anchor expectations. The stabilization also supported investment, including modernization of manufacturing through imported capital goods. The tradeoff was a loss of monetary flexibility. As conditions shifted and the U.S. dollar strengthened, the peg increasingly risked overvaluing the peso and eroding competitiveness, which made Argentina more dependent on external financing.

However, the government overlooked the downside of maintaining a fixed exchange rate. Given the hyperinflation Argentina faced in the late 1980s, the Convertibility Plan initially made sense as an emergency measure to regain stability. However, while it succeeded in lowering inflation, it imposed long-term costs that outweighed its initial benefits. Although the plan provided temporary relief, it ultimately constrained Argentina's economic flexibility, leaving it vulnerable to external shocks. Pegging the Argentine peso to the U.S. dollar required substantial foreign currency reserves to support the fixed rate, as the central bank needed to buy or sell pesos constantly to keep the rate stable. This dependency on large reserves came with significant risks. "A common element with all fixed or pegged foreign exchange regimes is the need to maintain the fixed exchange rate. This requires large amounts of reserves, as the country's government or central bank is constantly buying or selling the domestic currency." "In October 1998, the performance of Argentina received the attention of the world when President Carlos Menem shared the podium of the Annual Meetings with the IMF Managing Director, who characterized "the experience of Argentina in recent years" as "exemplary." The Managing Director further remarked: "Argentina has a story to tell the world: a story which is about the importance of fiscal discipline, of structural change, and of monetary policy rigorously maintained." Yet, just as Argentina's policies were being celebrated, the economy began to weaken in the latter half of 1998. After Russia's default in August 1998, capital flows to emerging markets reversed and commodity prices weakened; Brazil's 1999 devaluation then further hurt Argentina's competitiveness, deepening the downturn. Real GDP fell by over 3% in the second half of 1998. The contraction deepened, and GDP declined by about 3.5% for 1999 as a whole. Pegged exchange rates are inherently unstable in developing countries because these economies often lack the extensive foreign reserves needed to defend the peg. Additionally, political pressures and reliance on external capital make it challenging to sustain a fixed rate. As global markets fluctuate, developing countries with fixed rates face risks from capital flight or sudden shifts in commodity prices, making the peg difficult to maintain without drastic fiscal policies.

By late 2000, Argentina's economy was fragile, marked by rising debt, stagnating growth, and a deeply unstable political climate. Despite several attempts to stabilize the economy, including cuts to public spending and currency controls, Argentina's political system lacked the cohesion and commitment needed to implement effective, long-term solutions. In its assessment, the IMF identified Argentina's primary issue as a liquidity crisis, concluding that with sufficient fiscal discipline, the existing debt and exchange rate problems could be managed. Recognizing the vulnerabilities within Argentina's convertibility regime, the IMF emphasized the importance of fiscal discipline and labor market flexibility to sustain the peg. However, the IMF's efforts through program design and oversight yielded mixed results, as political commitment to these measures waned over time. In January 2001, the IMF expanded its Stand-By Arrangement (SBA) to provide additional support, targeting areas like Argentina's tax administration and other economic sectors. While early results appeared promising, with positive economic performance, much of the data was later found to be overstated; significant expenses had been left off the books, casting doubt on Argentina's economic stability. Although the IMF recognized these issues, it faced legal limitations in enforcing stricter measures. Ultimately, the core problems persisted: Argentina's rigid convertibility regime, weak fiscal discipline, and lack of political will to implement necessary reforms. The IMF ended its program, conceding its inability to address Argentina's unsustainable exchange rate, thereby setting the stage for the impending crisis. As of mid-2024, the IMF reported that Argentina's stabilization effort was showing stronger-than-expected early results and that the program was broadly on track. This marked a shift away from the narrower crisis-management approach of earlier periods toward a framework centered on fiscal adjustment, reserve rebuilding, and macroeconomic stabilization. The change also reflected the IMF's attempt to address earlier criticisms by placing greater emphasis on long-term credibility and institutional sustainability.

As the new century began, Argentina's economic challenges escalated into a full-blown crisis by 2001-2002. Years of economic missteps, fear of hyperinflation, and lack of structural reforms left Argentina highly vulnerable to external shocks and capital outflows. To delay default, Argentina executed a 2001 debt exchange (often referred to as the "megacanje") that extended maturities in return for higher coupons, higher spreads, and substantial fees. Many creditors participated to avoid an immediate default and preserve the option value of eventual repayment, even though the new terms increased Argentina's debt-service burden. The exchange bought time, but it did not restore confidence because it did not solve the underlying fiscal and competitiveness problems. As investor confidence plummeted, the banking system suffered a severe blow in November 2001 when a massive run on deposits began. From 1991 to 2001, Argentina's GDP growth rate decreased from 10.5% in 1991 to a -4.4% contraction by 2001. Inflation, which had been significantly reduced in the early 1990s, began to rise again, contributing to public unrest. Public debt ballooned, reaching nearly 60% of GDP by 2001. These economic indicators illustrate the severity of Argentina's downturn, showing how the fixed exchange rate and lack of fiscal control ultimately led to economic collapse. The government imposed strict daily withdrawal limits to prevent further capital flight, but this restriction only intensified public frustration. Shortly after, the IMF withdrew its pledged \$1.24 billion loan, signaling a lack of faith in Argentina's ability to reform. With the IMF stepping back, Argentina defaulted on an unprecedented \$132 billion in sovereign debt, which forced the dismantling of the currency board. The peso devalued sharply, wiping out domestic savings and bankrupting businesses, while highlighting the country's vulnerabilities in fiscal policy, labor market rigidity, and exposure to global financial trends. One benefit of dismantling the currency board was allowing the peso to float, a move seen by many as essential for restoring economic sovereignty and flexibility. This enabled Argentina to adjust its exchange rate in response to market conditions. Despite the previous support of pegged currency, this time the IMF supported the decision to let the Argentine peso float.



The chart plots the exchange rate as Argentine pesos (ARS) per U.S. dollar (USD). The steady upward trend indicates persistent peso depreciation, with sharper step-changes during periods of financial stress and policy uncertainty. This pattern is consistent with high inflation, limited foreign-exchange reserves, and recurring credibility issues that push residents and firms toward dollars and increase pressure on the domestic currency. Several factors have contributed to this depreciation. Foremost among these is Argentina's fiscal instability, characterized by high government spending and persistent budget deficits, which have intensified inflationary pressures and eroded the peso's value. Additionally, political instability and frequent policy shifts have undermined investor confidence, prompting capital flight and exerting further downward pressure on the currency. Argentina's ongoing struggles with external debt, defaults, and complex restructuring efforts have compounded these issues, further weakening faith in the economy. The COVID-19 shock in 2020, and the policy and inflation after-effects that carried into 2021 and 2022, added fiscal and external pressure.

As of January 2024, Argentina's gross foreign-exchange reserves were limited, at about \$20.9 billion, but headline reserve totals can overstate liquid buffers because some components are encumbered or offset by foreign-currency liabilities. Under the IMF's program framework, the more relevant metric is net international reserves (NIR), which can be materially lower than gross reserves. Using 2023 merchandise imports of about \$73.7 billion, a

gross-reserve level near \$20.9 billion would cover roughly 3.4 months (about 100 days) of merchandise imports before adjusting for reserve encumbrances.

Turning to recent developments, Javier G. Milei was sworn in as president on December 10, 2023, after campaigning on a platform of fiscal adjustment, deregulation, and sweeping market-oriented reform. Milei, a libertarian economist with no prior executive governing experience, signaled a sharp shift in Argentina's economic and foreign-policy orientation. Using the Kaminsky-Reinhart-Vegh criteria, Argentina exhibits several risk factors for contagion, including high external debt and reliance on volatile commodity prices. Given Argentina's integration with neighboring economies, particularly Brazil, a financial crisis could spread across the region, highlighting the importance of financial safeguards. Before Milei took office, Argentina had pursued closer ties with countries such as China, while Milei signaled a stronger alignment with the United States and other Western partners. His administration opened the door to closer engagement with the United States, particularly in economic, security, and investment matters. Argentina has substantial potential as an energy and resource producer. His term created a critical window to advance development in sectors such as lithium, natural gas, and copper, where Argentina has significant export potential. Strategic partnerships and targeted investments, especially in the lithium sector, could strengthen Argentina's energy infrastructure and bolster lithium-ion battery production, positioning the country as a key player in the global energy market.

Milei's presidency created a narrow but important opportunity to address Argentina's long-standing macroeconomic imbalances. The immediate priorities were fiscal consolidation, disinflation, reserve rebuilding, and the restoration of policy credibility. In practice, this meant reducing the fiscal deficit, improving the efficiency of public spending, and preserving essential investment in areas such as infrastructure, education, and health. Durable stabilization also required a more credible monetary and exchange-rate framework, since Argentina's repeated inflation crises have been tied not only to fiscal weakness but also to persistent distrust in the peso and in the institutions responsible for protecting it. Beyond short-term stabilization, Argentina's recovery depended on structural reform. A more predictable tax system, fewer bureaucratic barriers, and a more flexible business environment would help improve productivity, support private investment, and strengthen competitiveness. Argentina also had meaningful upside in sectors such as lithium, natural gas, and copper, where targeted investment and better policy coordination could expand exports and improve the country's external position. If paired with macroeconomic discipline, these sectors could become an important source of foreign exchange and medium-term growth. Argentina's sovereign credit profile remained a critical constraint. In early 2024, its ratings were deep in speculative territory, reflecting weak reserves, a history of defaults, and persistent policy instability. Since then, some agencies have acknowledged modest improvement in the policy framework. These developments suggest that credible fiscal adjustment and exchange-rate reform can improve market confidence, but the sovereign profile remains highly fragile and still depends on continued policy execution.

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